$70.95BN
(Rs 6 lakh crore)
FDI India received in FY24, which was $237 million in 1990

DID YOU KNOW?

The Bank of England and the Bank of Japan, somewhat humiliatingly, insisted that the 47 tonnes of gold pledged with them should be physically shipped to the Bank of England vaults in London

THE GROWTH ACCELERATOR

» **India's share in world exports of goods and services, which fell from 2% at Independence to 0.5% by the mid-1980s, bounced back to 0.8% by 2002 and reached 1.8% in FY24**

» **The share in world services trade more than quadrupled from 0.5% in 1995 to 3.5% in 2018, reaching 4.3% by FY23**

» **Foreign institutional investors, allowed entry into India in September 1992, became key drivers of the stock market. In FY24, net foreign portfolio investment inflows in the equity segment totalled $25.3 billion (Rs 2.1 lakh crore)**

» **As the public sector monopoly ended, more private enterprises entered the scene, promising more job opportunities**

ernment in November 1990, ran out of forex reserves and did its best to mobilise extra financing, borrowing big from the International Monetary Fund. More drama unfolded. In May 1991, finance minister Yashwant Sinha authorised the State Bank of India to sell 20 tonnes of gold from the government's confiscated stock to the Union Bank of Switzerland with a provision to repurchase within six months. He also authorised negotiations for pledging 47 tonnes of gold from the gold reserves as collateral for a loan of $600 million from the Bank of England and the Bank of Japan.

Rajiv Gandhi's assassination on May 21, 1991, saw the Congress return to power at the Centre, and P.V. Narasimha Rao become the PM. The economic scene had become even more challenging, with forex reserves hitting rock bottom and default just a matter of time. It was at this point that Rao brought in Manmohan Singh, former Reserve Bank of India governor and head of the Planning Commission as his finance minister. Together, they began the task of dismantling one of the most rigidly controlled policy regimes in the world, a 'Licence Raj' that mandated all businesses to operate under hard-to-procure licences. Production and prices were government-controlled, and approvals were required for laying off workers or shutting down businesses. India also had high tariffs that virtually prevented imports in many cases, and ring-fenced Indian companies from foreign competition. Reform was long overdue and Rao used the BoP crisis to introduce them.



"My objective is to make India truly self-reliant. Self-reliance...means the ability to pay for our imports through our exports. My motto is—trade, not aid. Aid is a crutch. Trade builds pride. And India has been trading for thousands of years"

— P.V. NARASIMHA RAO
Ex-Prime Minister, Jul. 9, 1991

The far-reaching structural changes aimed at liberating the Indian economy of government controls, giving a larger role to the private sector and greater integration with the world economy. There was an easing of the anti-monopoly laws, which had become severely restrictive under the Monopolies and Restrictive Trade Practices (MRTP) Act during the Indira Gandhi regime. The reforms allowed up to 51 per cent ownership in 34 industries under the 'automatic route'. The rupee was devalued in two steps on July 1 and July 3, that year, and trade policies were liberalised, with import licencing removed on all but a handful of intermediate inputs and capital goods. The historic budget that Manmohan Singh presented that year saw a halving of the maximum rate of customs duties from 300 per cent to 150 per cent. Not everyone welcomed the liberalisation of foreign direct investment or FDI, especially the 'Bombay Club' of industrialists, who argued for a 'level playing field' with foreign companies.

But the die was cast. And transformation ensued. In just a decade and a half, India's GDP growth took leave of the Hindu rate of 3 per cent annually and climbed up to 9.6 per cent in 2006, making us the fastest-growing economy after China. From a $266 billion GDP in 1991, India today boasts a GDP of $3.89 trillion, and a place among the top five economies of the world. ■